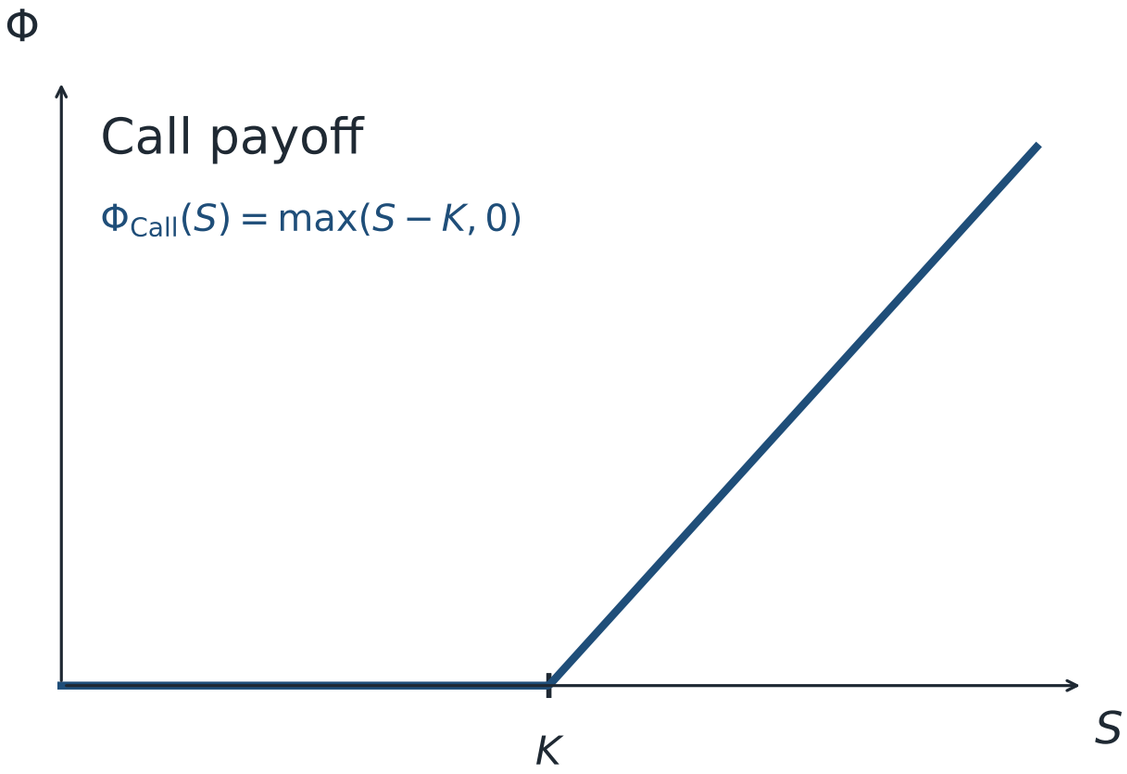
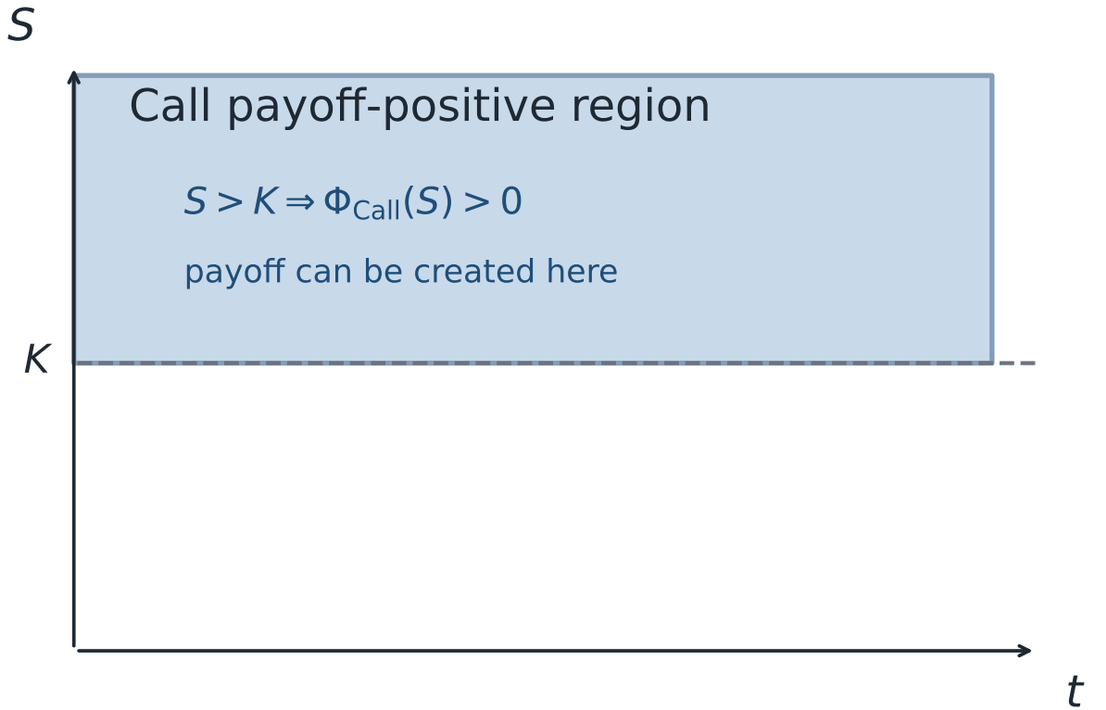
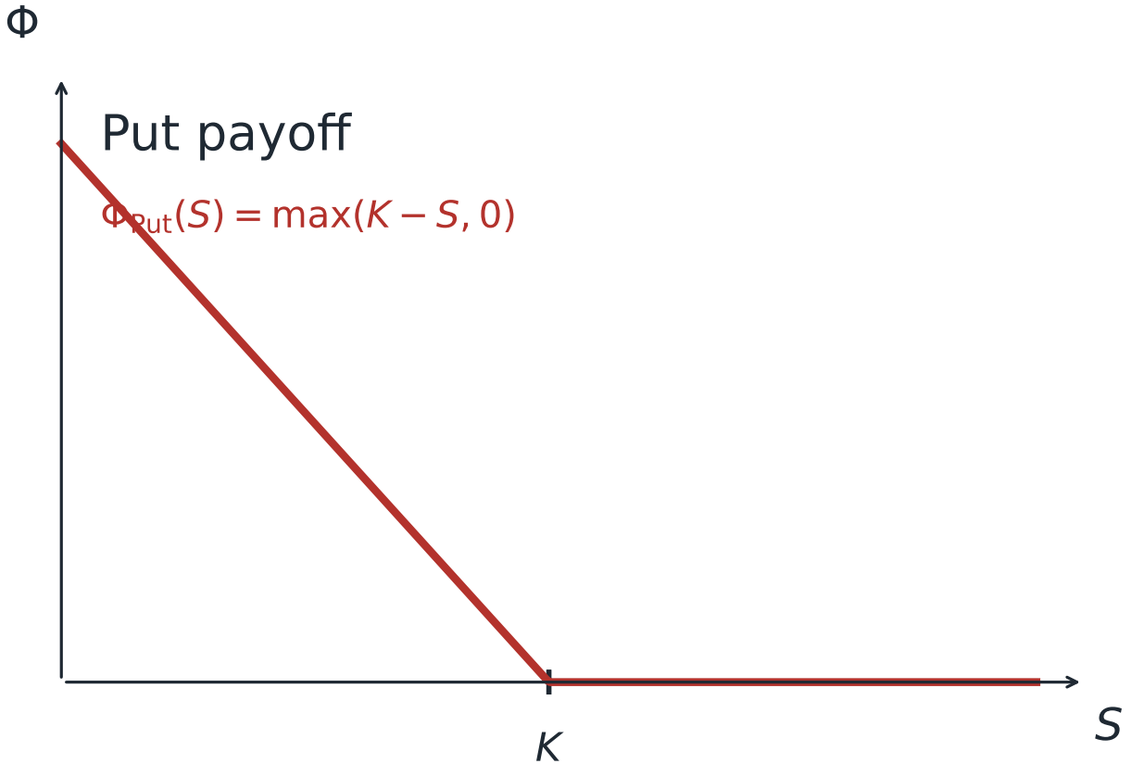
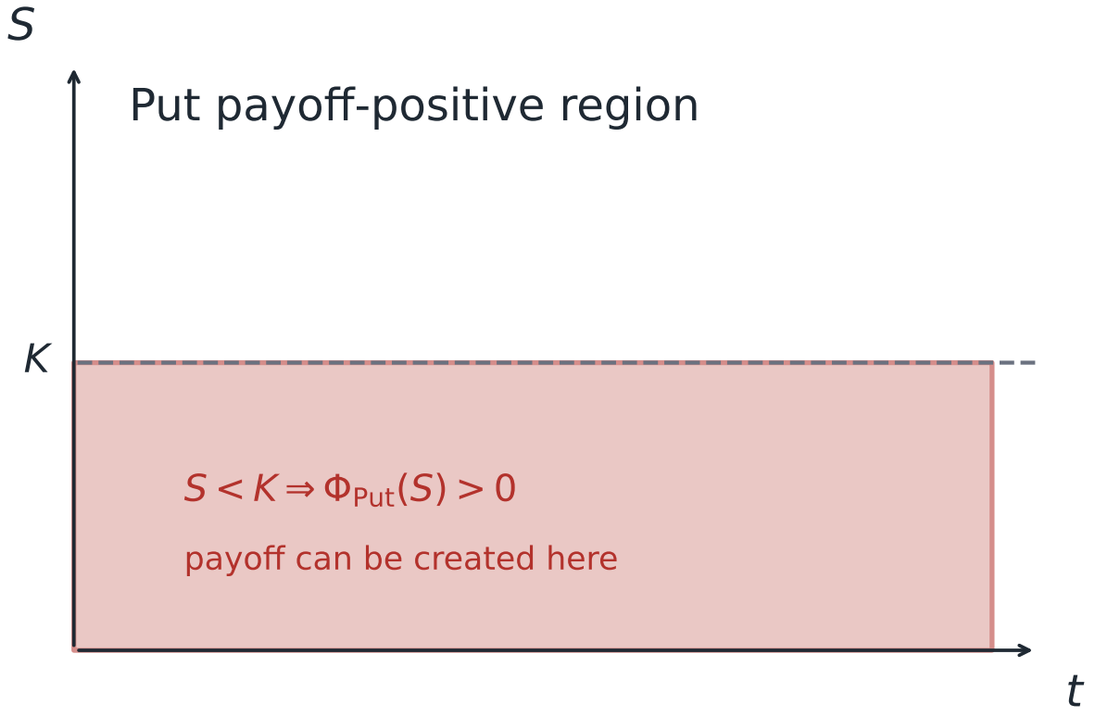

Φ
Call payoff
$\Phi_{\text{Call}}(S) = \max(S - K, 0)$
K
S


S
Call payoff-positive region
$S > K \Rightarrow \Phi_{\text{Call}}(S) > 0$
payoff can be created here
K
t


Φ
Put payoff
$\Phi_{\text{Put}}(S) = \max(K - S, 0)$
K
S


S
Put payoff-positive region
K
$S < K \Rightarrow \Phi_{\text{Put}}(S) > 0$
payoff can be created here
t